

CRYPTOCURRENCY PORTFOLIO ANALYSIS

Bitcoin, Ethereum & Salana – 12-Months Performance & Risk Study

Prepared as part of the
CodeAlpha Finance & Investment Analysis Internship

Task 2: Cryptocurrency Portfolio Analysis

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Date: September 2026

Data as of Sept, 2026 (USD)

1. Executive Summary

This report compares Bitcoin (BTC), Ethereum (ETH) and Solana (SOL) — the 'digital gold' store of value, the leading smart-contract platform, and a high-performance L1 challenger, respectively. Together they represent roughly 65-70% of total crypto market cap (excl. stablecoins).

Despite positive structural news over the past year (ETF approvals and inflows, protocol upgrades, institutional adoption), all three posted negative 12-month returns as the broader market corrected from October 2025 highs. The decline scales inversely with market cap: Bitcoin (-28%) held up best, Solana (-55%) fell most, Ethereum (-44%) in between — directly tracking each asset's relative volatility.

2. Key Metrics by Asset

Metric	Bitcoin (BTC)	Ethereum (ETH)	Solana (SOL)
Current Price	\$79,700	\$2,500	\$104
Market Cap	~\$1.58 trillion	~\$305 billion	~\$60.8 billion
52-Week Range	\$57,832.50 – \$126,186.00	\$1,388.12 – \$4,955.90	\$60.20 – \$253.38
1-Year Return	-28.0%	-44.0%	-55.0%
90-Day Volatility	~41%	~60%	~80%
Risk Tier	Lower (relative)	Medium	Higher

Recent News and Development

Bitcoin remains the primary institutional on-ramp into crypto — the largest, most liquid, and most widely held digital asset, increasingly treated as a macro store-of-value alongside gold.

- Renewed spot-ETF inflows (~\$4.25B over 30 days, including a \$730.9M single-day spike) and continued corporate treasury accumulation (e.g. Strategy's recent 13,267 BTC purchase).
- Bitwise expects BTC to become structurally less volatile than mega-cap tech stocks as its institutional holder base deepens.

Ethereum remains the dominant smart-contract platform underpinning most DeFi, tokenization and NFT activity, though it faces growing competition from faster, cheaper chains.

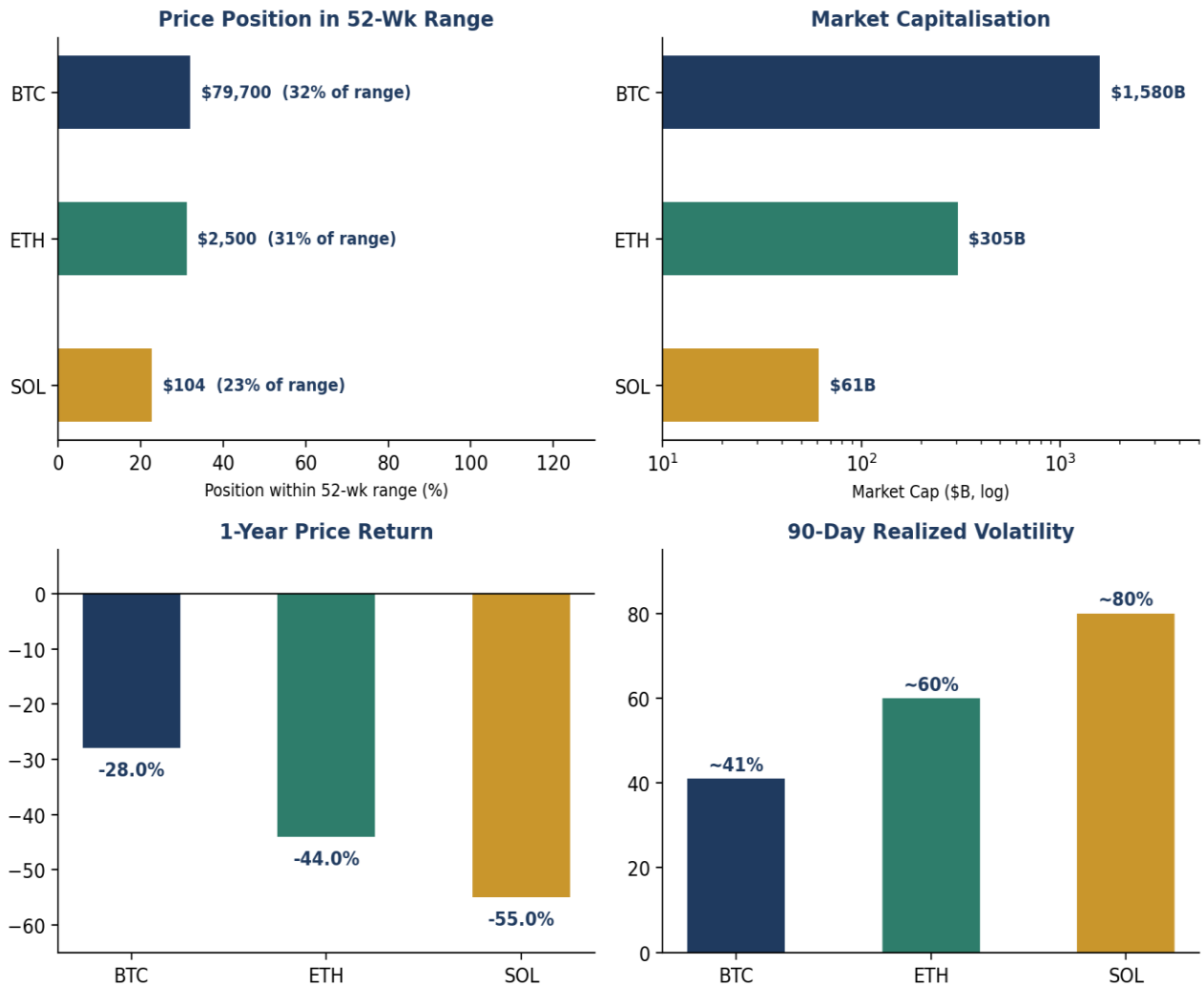
- A new upgrade lets users pay gas fees without holding ETH directly, lowering onboarding friction for new applications.
- Spot ETH ETFs (launched mid-2026) have drawn strong inflows, though they recently broke a 12-day winning streak.

Solana is the highest-throughput, lowest-fee major Layer-1, positioning itself for payments and consumer-scale applications.

- The 'Alpenglow' upgrade (rolling out through Q4 2026) targets ~150ms transaction finality, down from 12.8 seconds today.
- Solana ETFs are 2026's fastest-growing crypto ETF category (+33% cumulative inflows), and corporate SOL treasury strategies are emerging.

3. Visual Comparison

Bitcoin vs Ethereum vs Solana — Key Metrics at a Glance



Bitcoin's much larger market cap (~5x Ethereum, ~26x Solana) corresponds directly with its lower volatility (~41% vs ~60% and ~80%) and smaller one-year decline — the clearest pattern in the data: size and liquidity dampen drawdowns in this asset class.

4. Risk Assessment

- Bitcoin: Lowest relative volatility and deepest institutional adoption, but still highly volatile vs. traditional assets; sensitive to Fed policy and ETF flow reversals.
- Ethereum: Competitive pressure from faster/cheaper L1s; recovery depends on Layer-2 ecosystem growth and sustained ETF demand.
- Solana: Highest volatility and drawdown risk (~80%); strong technical momentum, but position sizing should stay conservative.
- Shared risks: regulatory uncertainty, potential ETF outflow reversals, high sensitivity to US interest-rate expectations.

5. Insights & Recommendations

- Conservative: Overweight BTC (50-60% of crypto allocation) for lower relative volatility and deepest institutional backing.
- Balanced: ~45% BTC / 30% ETH / 25% SOL (modelled in the companion Google Sheet) balances capital preservation with growth exposure.
- Growth-oriented: Increase ETH/SOL weighting to capture upside from Alpenglow and Ethereum's L2 ecosystem, accepting materially higher drawdown risk.